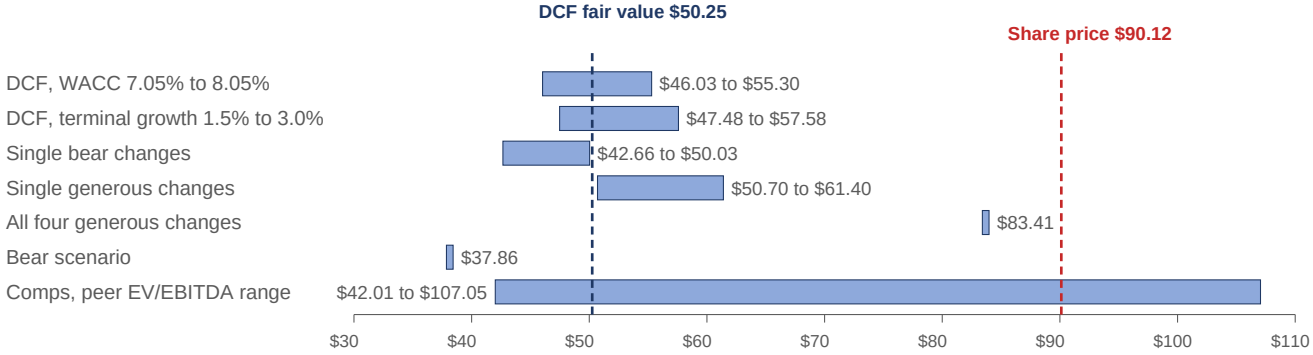
The Coca-Cola Company (NYSE: KO)

SELL	Desk rating: SELL (PM confirmed; re-run 15 Oct 2026 after evidence audit)	Fair value USD 50.25	Share price USD 90.12 (13 Oct 2026)	Upside -44.2%	Bear case USD 37.86

Memo of 13 October 2026, re-run 15 October 2026 after the evidence audit (equity risk premium 4.2%, listed stakes no longer grown in the roll-forward, bear margin 31.9%) and the PM's bear responses (FY26 growth 5.0%, PM decision 15 Oct 2026). Desk rule: BUY at +15% or more, SELL at -10% or worse. **HOLD starts at USD 81.11, BUY at USD 103.64.** Per-share values in US dollars (USD); totals in USD m.



Thesis

- **The price needs a much lower cost of capital.** Our WACC (the yearly return lenders and shareholders require) is 7.55%; the USD 90.12 price implies 5.11%. HOLD would need 5.45%. No reasonable single change takes KO out of SELL.
- **The cash yield is below the risk-free rate.** FY26 free cash flow guidance of USD 12.4bn is a 3.20% yield on the market value, against 5.22% on the 10-year US Treasury, at about 30x earnings, before any IRS payment.
- **A high-quality business, fully priced.** ROIC is 27.0% and the margin ex-CCBA 33.2%. Only KO's own regression beta, an IRS win and 3% perpetual growth together reach HOLD (USD 83.41), still 7.4% below the price.

Valuation

DCF in USD m at the 31 Dec 2025 balance sheet, mid-year discounting (56% of FY26 guided cash, USD 6.9bn of USD 12.4bn, came in the first half).

- **Growth (USD, ex-CCBA):** base revenue USD 44,309m; 5.0% in FY26 (was 6.0%; PM decision 15 Oct 2026: part of the disposal headwind is not CCBA), then 3.0% a year (FY27-30).
- **Savings flow-through:** none (no announced programme); margin held flat at 33.2%. Tax 23.7%.
- **WACC 7.55%:** risk-free 5.22%, beta 0.6091, equity risk premium 4.2% (was 5.0%, unsourced), cost of equity 7.78%; cost of debt 5.91% (risk-free + 0.69% single-A spread); debt weight 7.1%. **ERP source:** Damodaran's implied ERP, 4.20% at 1 Oct 2026, seen only in search summaries (PM decision 15 Oct 2026: keep 4.2% once confirmed there).
- **Terminal:** growth 2.0%; capex 4.76% of sales, so new investment earns 27% (RONIC).

Bridge (USD m): EV 212,139 - net debt 29,686 - leases 1,722 - minorities 2,106 - IRS 14,000 + equity stakes 46,626 + CCBA proceeds 1,300 = 212,551; 216,169 at 13 Oct (listed stakes of USD 39,540m already at 13 Oct prices, so not grown; the rest grown at the cost of equity, less USD 6,840m of dividends); 4,302m shares = **USD 50.25**. **Terminal value is 76.7% of EV (FLAG, limit 75%).** Exit multiple 12.0x EBITDA, inside the peer range but at its bottom, against KO's own 26.1x. Comps: peer median EV/EBITDA 19.1x (PepsiCo 11.4x, Keurig Dr Pepper 19.1x, Monster 29.1x) gives USD 42.01 / 70.07 / 107.05; the DCF is 28.3% below the median. Little weight (three peers, forward P/E MISSING).

Value per share (USD)	g 1.5%	g 2.0%	g 2.5%	g 3.0%
WACC 6.55%	57.09	61.46	66.89	73.85
WACC 7.05%	51.85	55.30	59.49	64.71
WACC 7.55%	47.48	**50.25**	53.55	57.58
WACC 8.05%	43.78	46.03	48.69	51.86
WACC 8.55%	40.60	42.46	44.62	47.17

IRS case (PM decision: assume a loss). The bridge deducts USD 14,000m of tax and interest for 2010-25 (10-K), and tax is 19.9% + 3.8 points = 23.7%. **But the 8th Circuit reversed the 3M Tax Court ruling on the same rule (1 Oct 2025);** KO's 10-K calls it "highly supportive". KO's own appeal (11th Circuit, heard 25 Jun 2026) is pending. KO loses: **USD 50.25**; halfway: **USD 53.96**; KO wins: **USD 57.66** (USD 6.0bn deposit refunded, 19.9% tax). All SELL.

CCBA (African bottler being sold). The base removes CCBA (2024 revenue EUR 3,357m, EBIT EUR 246m) and adds the USD 1,300m sale price plus the retained 25% (USD 850m). The EUR figures are confirmed by two search readings of Coca-Cola HBC's own presentation; the PDF was not opened here (sourced, not verified).

Fundamentals

- **Growth slowing:** organic 16% (FY21, FY22), 12% (FY23, FY24), 5% (FY25); reported 1.9% in FY25 after currency. Volume flat.
- **Margins up, partly mix:** comparable 28.7% (FY22) to 31.2% (FY25), helped by selling bottlers; impairments of USD 1,045m in FY25 are excluded.
- **Returns high:** ROIC 25.0%, 27.5%, 27.9%, 27.0% (FY22-25); 31.4% in FY25 without the IRS deposit.
- **Cash hit by one-offs, debt steady:** FY25 free cash flow USD 5,296m (USD 11,365m before the fairlife payment); net debt / comparable EBITDA fell from 2.40x (FY21) to 1.85x (FY25).

Risks

- **Beta:** 0.6091, the US soft-drinks industry beta (0.5755) relevered. KO's own regressions give 0.13 to 0.35, R-squared 1-12%. HOLD needs 0.059.
- **Volatility:** 18.9% (1 year) and 16.7% (5 years) vs 17.0% for the S&P 500 (5 years).
- **Drawdown:** maximum -17.3% over 5 years, USD 58.08 (22 Apr 2022) to USD 48.05 (5 Oct 2023), dividend-adjusted.
- **Leverage:** 1.85x net debt / comparable EBITDA (2.12x with leases); interest cover 8.3x; rated A+. Paying the USD 14,000m IRS liability would lift it to 2.72x.

Bear case and our response

No single bear change leaves SELL. Stacked bear (FY26 5.0%, 1% growth FY27-30, WACC +1 point, PM bear margin 31.9%): **USD 37.86**. Values in USD per share.

Challenge	Test: value (impact)	Response
1. Peak margin	30.0%: USD 45.15 (-5.09); 31.9%: USD 48.19 (-2.06)	30.0% includes CCBA. PM decision 15 Oct 2026: bear margin 31.9%, in the stacked bear
2. Currency drag	1% FY27-30: USD 46.70 (-3.54); FY26 5.0% instead of 6.0%: -0.51	PM decision 15 Oct 2026: FY26 5.0% accepted, in base and bear; 1% kept as a stress test
3. IRS and cash	add the USD 900m accrual: USD 50.03 (-0.22)	PM decision 15 Oct 2026: loss stays in base, no extra accrual; FY26 cash (USD 11,208m) reconciles
4. Stakes at market	31 Dec 2025 values: USD 49.03 (-1.22); 21% tax on gain: USD 49.00 (-1.25)	Small. PM decision 15 Oct 2026: keep no tax deducted
5. Beta at a low	0.868: USD 42.66 (-7.59), WACC 8.56%	PM decision 15 Oct 2026: keep 0.6091. The 8.56% is now inside the 6-9% range
6. ERP (audit)	5.0%: USD 46.54 (-3.71); 5.5%: USD 44.49 (-5.76)	PM decision 15 Oct 2026: keep 4.2% once confirmed; SELL at every ERP

Is the SELL just a harsh base case?

Desk assumption	Generous alternative	Value	Impact
Beta 0.61	0.35 (KO regression)	USD 61.40	+11.15
IRS case lost	Win, USD 6.0bn refunded	USD 57.66	+7.42
Terminal growth 2.0%	3.0%	USD 57.58	+7.33
RONIC 27.0%	31.4%	USD 50.70	+0.45
All four together		**USD 83.41**	**+33.16, HOLD**

PM view: SELL (PM decision 15 Oct 2026). Beta 0.35, an IRS win and 3% growth give USD 83.41 (USD 82.25 without RONIC), just above HOLD (USD 81.11) but 7.4% below the price, so the old line "every generous stack stays SELL" is withdrawn. Leave any one out and it is SELL (USD 66.17 to USD 75.01). None reaches BUY.

Sources

- Coca-Cola FY25 Form 10-K (SEC accession 0001628280-26-010047, filed 20 Feb 2026): balance sheet, Note 2 (held for sale), Note 10 (leases), Note 14 (pensions), Note 19, Note 20 (segments, pp.116-117), equity method investments note, IRS liability and the 3M 8th Circuit ruling (tax litigation note); 10-Ks FY22-FY24 (SEC EDGAR XBRL).
- Coca-Cola results 8-Ks (exhibit 99.1): Q4 2025 (0001628280-26-006642, pp.26, 28), Q2 2026 (0001628280-26-049922, FY26 outlook and first-half free cash flow), Q4 2019-Q4 2024 for the guidance track record.
- Coca-Cola 10-Qs: Q1 2026 (0001628280-26-028802) and Q2 2026 (0001628280-26-050503, Note 9: tax rate +3.8 points, USD 900m accrual).
- Coca-Cola HBC CCBA acquisition announcement, 21 Oct 2025 (factsheet and presentation on coca-colahellenic.com; read via two web-search summaries, PDF not opened, PM to verify).
- Damodaran implied equity risk premium, 1 Oct 2026 (search summaries only; docs/audit-2026-10-15/erp-evidence.md). Kroll and Fernandez ERP figures from the same pack.
- FRED: DGS10 (2026-10-08), ICE BofA single-A spread BAMLC0A3CA (2026-10-08), DEXUSEU (2024 average).
- Yahoo Finance: KO, S&P 500, peer and listed-stake prices (13 Oct 2026), dividend dates; Damodaran, Betas by Sector (US), January 2026 (file supplied by the PM).
- Peers PepsiCo, Keurig Dr Pepper, Monster: SEC EDGAR XBRL. Evidence audit 15 Oct 2026: docs/audit-2026-10-15/KO.md and summary.md. PM decisions: briefs/KO.yaml. Agent outputs: runs/KO/2026-10-13/ (valuation and bear re-run 15 Oct 2026). PM bear responses: docs/audit-2026-10-15/bear-responses-2026-10-15.md (PM decision 15 Oct 2026, accept all).